development. With a paucity of technical/vocational training institutions (say like the *German model*) in India, 'on-the-job learning' is one of the easiest and most viable models of human capital accumulation. Employment that is likely to endure provides incentives to the firm for nurturing skill building and to the worker for developing skills. These contracts necessitate *backloading* of pay and incentives (compensation increases with experience) so that workers do not avail of the training and leave. In contrast, informal and temporary contracts are in fact flat and sometimes even *frontloaded*, absolutely the inverse of the desired architecture. Long-lasting employment does not mean tenure for life, which is the other extreme of the contract space commonly found in India. Permanent employment not only limits firm flexibility, it also reduces some workers' incentives to learn or exercise effort. An intermediate structure that exists in most countries is contracts that allow termination in situations of firm distress or for poor worker performance, but with carefully designed and effective redressal mechanisms if the employee is fired without cause, as well as compensation for severance and unemployment benefits.

Whatever be the causes, the fact is that India is not creating enough productive jobs. Moreover, India has the *dubious distinction* of having some of the most comprehensive labour laws in the world, even while having one of the largest fractions of the working population unprotected. Not only do informal workers have lower productivity and earn less, but they are also more vulnerable to violations of basic workers' rights such as reasonable working conditions and safety at work. It may be the stringent protection that is afforded by existing regulations that is responsible for both the 'paucity of good jobs' as well as the inadequate protection that most workers have. In India, reforms are typically implemented only after they have been subject to a lot of debate and after some sort of ***political consensus*** is reached on them. It is therefore imperative that consensus building on **labour market reforms** should start soon. India needs many more firms in the formal sector, especially firms that continue growing and creating productive jobs. India may take some ideas from Mauritius as how did it undertake reforms that improved employment.

It may take time to build political consensus for fundamental reforms. In the meantime, states could be allowed more flexibility to experiment without